IDM CAPITAL — INVESTMENT REQUEST FORM

1. Your Business Name: The Practice (Owner: Andy, andy@practice.co.uk)

2. Target Company Name: ALC Physio Ltd (trading as ALC Physio)

3. Target Company's Registered Address: Unit 17, Mulberry Avenue, Bristol, BS2 4LG

4. Target Company's Company Number: 34328634

5. Target Company's Owner's Name: Anna Clitheroe (anna@alcphysio.co.uk)

6. EBITDA of Target Company (Split by Site and Total, FY 2025–26):

- **Recommended Fair Adjusted EBITDA:** £131,057.30 total (Clinic 1: £74,489.24 | Clinic 2: £47,065.06 | Clinic 3: £9,503.00), reflecting all agreed seller adjustments, depreciation add-back, duplicate website removal, and National Living Wage (NLW) reception adjustment.
- **Adjusted EBITDA Range (Subject to Seller Confirmation):** £126,072.84 to £149,686.86 total (Unadjusted P&L: £109,864.23; Seller's Adjusted P&L: £140,556.30; Confirmed Baseline with Depreciation Added Back: £144,702.40):

EBITDA Reconciliation & Scenario Breakdown	Clinic 1 (5 Rms)	Clinic 2 (6 Rms)	Clinic 3 (2 Rms)	Total EBITDA
Unadjusted P&L EBITDA (Per Draft 2025–26 Accounts)	£69,612.00	£41,376.73	-£1,124.50	**£109,864.23**
+ Owner Wage (£10k) & 14% NI/Pension (£1.4k) Removal (Agreed)	+£11,400.00	+£11,400.00	£0.00	**+£22,800.00**
+ One-Off Gym Clinic Set-Up Repairs Removal (Agreed)	£0.00	£0.00	+£7,892.07	**+£7,892.07**
Seller's Proposed Adjusted EBITDA (Anna's Adjustments Only)	£81,012.00	£52,776.73	£6,767.57	**£140,556.30**
+ Equipment Depreciation Added Back (Accounting Correction)	+£1,342.45	+£1,043.67	+£1,759.98	**+£4,146.10**
Confirmed Baseline Adjusted EBITDA (Seller Adj. + Depr.)	£82,354.45	£53,820.40	£8,527.55	**£144,702.40**
+ Duplicated Web Support / Website Line Removed (TBC)	+£2,104.50	+£1,904.51	+£975.45	**+£4,984.46**
Upper-Bound Adjusted EBITDA (Excl. Reception Wage Adj.)	£84,458.95	£55,724.91	£9,503.00	**£149,686.86**
– Reception Wage Uplift to 58h/wk at £12.21 NLW + 14% NI (TBC)	-£9,969.71	-£8,659.85	£0.00	**-£18,629.56**
Recommended Fair Adjusted EBITDA (All Adjustments Applied)	**£74,489.24**	**£47,065.06**	**£9,503.00**	**£131,057.30**
Lower-Bound Adjusted EBITDA (Reception Adj. Only; No Web Adj.)	£72,384.74	£45,160.55	£8,527.55	**£126,072.84**

7. Multiplier or Multipliers Used:

- **Clinic 1 (Standalone clinic, established 8 years, 5 rooms + rehab area):** 1.4x EBITDA (standard IDM Capital acquisition multiple).
- **Clinic 2 (Standalone purpose-built flagship clinic, established 16 years, 6 rooms + large rehab area):** 1.4x EBITDA.
- **Clinic 3 (Newest clinic inside Kennark's Gym, established 1 year, 2 rooms + gym access):** 1.4x EBITDA less a 15% non-standalone discount on the multiplied figure (effective multiplier of 1.19x EBITDA = 1.4 × 0.85), reflecting third-party gym licence risk.

8. Overall Valuation (Recommended Fair Valuation & Offer Range):

- **Recommended Fair Valuation (All Identified Adjustments Applied):** £181,484.59 (Clinic 1: £104,284.94 | Clinic 2: £65,891.08 | Clinic 3: £11,308.57).
- **Fair Offer Valuation Range (Pending Seller Confirmation of Queries):** £174,711.19 to £207,565.97 (Confirmed Baseline prior to unconfirmed items: £200,792.57; Seller's Proposed Adjustments Alone: £195,357.63):

Valuation Scenario	Clinic 1 (1.4x)	Clinic 2 (1.4x)	Clinic 3 (1.19x*)	Total Valuation
1. Unadjusted P&L Baseline	£97,456.80	£57,927.42	-£1,338.16	**£154,046.07**
2. Seller's Proposed Adjustments Only (Anna's Figures)	£113,416.80	£73,887.42	£8,053.41	**£195,357.63**
3. Confirmed Adjustments (Seller Adj. + Depr. Add-Back)	£115,296.23	£75,348.56	£10,147.78	**£200,792.57**
4. Upper Bound (Confirmed + Duplicate Web Removed)	£118,242.53	£78,014.87	£11,308.57	**£207,565.97**
5. Recommended Fair Valuation (All Adjustments Applied)	**£104,284.94**	**£65,891.08**	**£11,308.57**	**£181,484.59**
6. Lower Bound (Confirmed + Reception NLW Adj.; No Web Adj.)	£101,338.64	£63,224.77	£10,147.78	**£174,711.19**

9. Description of How Valuation Was Arrived At (Adjustments in Seller's Favour & Our Favour):

A. Adjustments in the Seller's Favour (Increasing Total EBITDA by +£39,822.63 | Valuation by +£53,519.90)

- **Owner's Wage & 14% NI/Pension Reduction (Clinics 1 & 2 — Agreed):** Removed £10,000.00/site from Employed Clinician Salaries in Clinic 1 (£107,120 → £97,120) and Clinic 2 (£108,993 → £98,993) to reflect owner Anna Clitheroe leaving and being replaced by a cheaper clinician, plus £1,400.00/site in associated 14% Employer NI & Pension. Impact: +£11,400.00 EBITDA per site (+£22,800.00 total EBITDA; +£31,920.00 valuation at 1.4x).
- **One-Off Clinic 3 Set-Up Costs Removed (Clinic 3 — Agreed):** Removed £7,892.07 from Clinic 3 Repairs, Maintenance & Testing (£8,342.07 → £450.00) as non-recurring fit-out costs for opening inside Kennark's Gym last year. Impact: +£7,892.07 EBITDA (+£9,391.56 valuation at 1.19x).
- **Equipment Depreciation Added Back (All Clinics — Accounting Correction):** The draft P&L erroneously deducted Equipment depreciation (Row 43) inside Operating Expenses when computing EBITDA. Adding back depreciation per standard EBITDA definition adds +£1,342.45 (Clinic 1), +£1,043.67 (Clinic 2), and +£1,759.98 (Clinic 3). Impact: +£4,146.10 total EBITDA (+£5,434.94 valuation).

- **Suspected Duplicate Website / Web Support Expense Removed (All Clinics — To Confirm with Seller):** Web support services (Row 31, Admin) and Website, SEO & Content (Row 35, Marketing) show identical figures across all sites: £2,104.50 (Clinic 1), £1,904.51 (Clinic 2), and £975.45 (Clinic 3). As the accountant's draft figures were unchecked, removing one duplicate row adds +£4,984.46 total EBITDA (+£6,773.40 valuation). If confirmed as two separate contracts, valuation reduces by £6,773.40.

B. Adjustments in Our Favour (Decreasing Total EBITDA by -£18,629.56 | Valuation by -£28,077.01)

- **Reception / Admin Wage Uplift to National Living Wage for Full Opening Hours (Clinics 1 & 2 — To Confirm with Seller):** All clinics open 8am–8pm Mon–Thu (48 hrs) and 8am–6pm Fri (10 hrs) = 58 hours/week (3,016 hours/year over 52 weeks). Recorded Reception / Admin Wages of £28,080.00 (Clinic 1) and £29,229.00 (Clinic 2) imply £9.31/hr and £9.69/hr over 3,016 hours—below the 2025–26 UK statutory National Living Wage (NLW) of £12.21/hr (indicating either unrecorded/owner-covered reception hours or unstaffed reception for ~13–18 hrs/wk).
  - **Quantified NLW Staffing Impact:** Staffing all 3,016 opening hours/year at the £12.21/hr NLW requires £36,825.36 wages + £5,155.55 (14% NI/pension) = £41,980.91 per clinic. This adds £8,745.36 wages + £1,224.35 NI/pension at Clinic 1 (-£9,969.71 EBITDA) and £7,596.36 wages + £1,063.49 NI/pension at Clinic 2 (-£8,659.85 EBITDA), reducing total EBITDA by -£18,629.56 (-£26,081.38 valuation at 1.4x). (Note: At the April 2026 NLW of £12.71/hr, required cost is £43,700.03/site, reducing EBITDA by -£22,067.80 and valuation by -£30,894.92; if partial reception cover is intentional, no deduction is required.)
- **15% Non-Standalone Discount on Clinic 3 (Clinic 3 — Agreed Policy):** Applying 1.4x to Clinic 3's fully adjusted EBITDA (£9,503.00) yields £13,304.20; deducting 15% (-£1,995.63) gives £11,308.57 (effective 1.19x multiple) to reflect non-standalone gym tenure risk.
- **Additional Due Diligence Checks:** Confirm Clinic 3's £0 lines for Business Rates, Utilities, Cleaning & Clinical Waste Disposal, and Reception are all included in the £14,400/yr Kennark's Gym rent (especially clinical waste disposal). Note that consultation (£70 initial / £50 follow-up) and massage (£60 / £40) fees match our pricing (~£88/hr full-book revenue vs our £86.95/hr), so post-acquisition upside will come from room utilisation rather than price rises.